



Life Assurance Sector Report

for the Quarter Ended 31 March 2019



Insurance and Pensions
Commission



Contents

1. Executive Summary	4
2. Industry Architecture	6
Section A: Life Assurance Industry	7
3. Performance in terms of Gross Premium Written.....	8
4. Capitalisation.....	10
5. Asset quality	10
6. Reinsurance	13
7. Earnings.....	13
8. Claims Analysis.....	13
9. Liquidity	14
10. Market Share	14
Section B: Life Reassurance Industry	16
10. Performance in Terms of Business Written.....	17
11. Capitalisation.....	18
12. Asset Quality	18
13. Actuarial Matters.....	21
14. Earnings.....	21
15. Liquidity	22
16. Market Share.....	23
ANNEXURES.....	25



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1. Executive Summary

- 1.1 As at 31 March 2019, the life assurance industry was made up of 11 direct life assurance companies, five composite reinsurance companies and 1436 agents.
- 1.2 Gross Premium Written (GPW) for direct life assurance companies for the quarter ended 31 March 2019 stood at \$109.9 million, representing a 13% increase from \$97.0 million reported in the comparative period in 2018.
- 1.3 On the other hand, life reinsurance companies' GPW grew by 13.42% from \$1,870 million reported for the quarter ended 31 March 2018 to \$2.121 million for the year to 31 March 2019.
- 1.4 Nine (9) out of eleven (11) operating life assurance entities and all composite reinsurance companies reported capital positions which were in compliance with the prescribed minimum capital requirements.
- 1.5 The life assurance industry registered a 2% decrease in total assets from \$3.6 billion as at 31 December 2018 to \$3.5 billion as at 31 March 2019. The decrease was mainly attributable to the bearish performance by the equities market, which resulted in values of shares going down.
- 1.6 Composite reinsurers reported an asset base of \$51.48 million as at 31 March 2019, an increase of 3.89% from the \$49.55 million reported as at 31 December 2018.
- 1.7 The average prescribed asset ratios as at 31 March 2019 stood at 13.7% and 5.82% for life insurers and life reinsurers respectively.
- 1.8 Out of the eleven (11) life assurance companies, only one (1) institution was compliant with the minimum prescribed asset threshold of 15%, while 3 players have ratios that are marginally below the compliance threshold. However all reinsurers were not compliant with the minimum prescribed asset ratio.
- 1.9 The life assurance sector reported an after tax loss of \$247.7 million for the quarter ended 31 March 2019, an increase from negative \$97 million reported in the comparative quarter in 2018. The decrease in



profit after tax was due to a significant decrease of investment returns (income).

1.10 On the other hand, the life reinsurance sector reported profit after tax of \$230, 000 for the period ended 31 March 2019, reflecting an increase of 3.89% from \$202, 000 reported for the comparative period in 2018.

1.11 Total claims incurred by the life assurance industry for the quarter ended 31 March 2019, amounted to \$48,747 million, an increase of 7.55% from \$45,323 million reported for the comparable period in 2018.

1.12 Reassurers on the other hand, reported net incurred claims of \$538,000, an increase of 45.01% from \$371,000 reported in the comparable period in 2018.

1.13 For a summary of key financial indicators and trends, see table 1 below:

Table 1: Financial Indicators

Life Assurers				Life Reinsurers		
Financial Aspect	Mar 2018	Mar 2019	Growth	Mar 2018	Mar 2019	Growth
GPW (\$000)	96,975	109,863	13.29%	1,870	2,121	13.42%
NPW (\$000)	95,494	108,067	13.17%	1,590	1,874	17.86%
Net claims (\$000)	45,323	48,747	7.55%	371	538	45.01%
Management expenses	21,728	26,464	21.80%	450	351	-22.05%
Commissions (\$000)	4,411	4,743	7.53%	508	514	1.18%
Technical costs (\$000)	71,462	79,954	11.88%	1,329	1,403	5.54%
Technical Profit	24,032	51,777	115.45%	261	471	80.46%
Profit after tax (\$000)	-97,000	-247,700	-154.64%	202	230	12.17%
	Dec 2018	Mar 2019	Growth	Dec 2018	Mar 2019	Growth
Total Assets (\$000)	3,549,925	3,485,386	-1.82%	49,554	51,480	3.89%
Total Liabilities (\$000)	2,908,578	2,865,093	-1.50%	22,021	20,640	-6.27%
Capital (\$000)	641,346	620,293	-3.28%	106,010	131,252	23.81%
Capital to liability ratio	22.05%	22%	0.05%	125.00%	149.40%	24.40%
Prescribed assets (\$000)	321,290	477,442	48.60%	3,211	2,996	-6.70%
Prescribed assets ratio	9.05%	13.7%	4.72%	6.48%	5.82%	-0.66%

2. Industry Architecture

- 2.1 As at 31 March 2019, there were 11 registered life assurers and five (5) registered composite reassurers' under the supervision of the Insurance and Pensions Commission (IPEC).
- 2.2 Life assurers had 1,436 agents comprising both Corporate and individual as shown in table 2 below.

Table 2: Distribution of Agents across Life Assurers

Co. Name	Corporates Agents		Individual Agents	
	Mar-18	Mar-19	Mar-18	Mar-19
CBZ Life	4	3	60	52
Econet Life	-	-	-	-
Evolution Health & Life	-	-	-	-
Fidelity Life Assurance	-	-	50	45
First Mutual Life	-	-	216	216
Getsure Life Assurance	1	1	27	56
Heritage Life	-	-	31	21
Nyaradzo Life Assurance	9	10	303	303
Old Mutual Life Assurance	10	8	269	236
ZB Life Assurance	-	-	339	233
Zimnat Life Assurance	-	-	252	252
Total	24	22	1,547	1,414

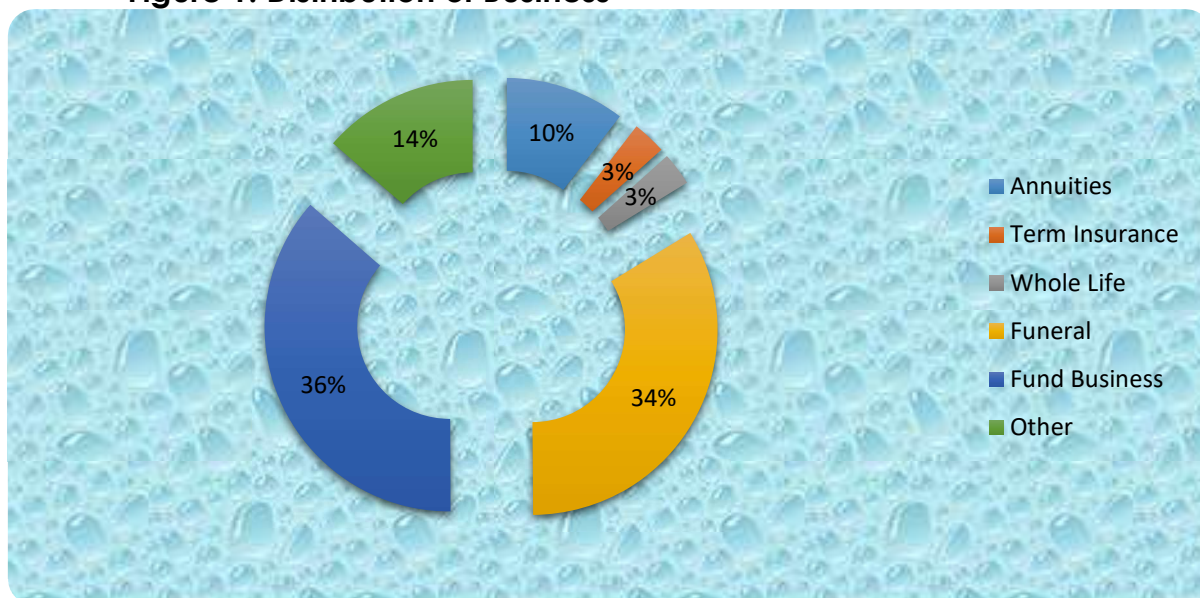


Section A: Life Assurance Industry

3. Performance in terms of Gross Premium Written

- 3.1 As at the reporting date, gross premiums grew by 13% from \$97.0 million for the quarter ended 31 March 2018 to \$109.9 million for the quarter ended 31 March 2019.
- 3.2 The growth was mainly attributable to an increase in new business generated from annuities business and the group life assurance business, which totalled \$24.1 million.
- 3.3 Despite the nature and purpose of funeral assurance policies, they have remained unchanged on the consumers' list of life insurance priorities.
- 3.4 On the other hand, term assurance, endowment policies, pure endowment and whole of life business, accounted for an insignificant proportion of business generated during the quarter under review, signalling very little appetite for these products by the market.
- 3.5 Fund and funeral assurance businesses remained the major sources of business for life assurance companies, accounting for 70.2% of GWP.

Figure 1: Distribution of Business



**Other comprises of Endowment, pure endowment and group life assurance*

- 3.6 The life assurance industry's business written was largely skewed towards recurring premiums, which accounted for 86.3% of total business. The small percentage of business attributable to new business



could be a reflection of the prevailing harsh macro-economic environment (See Annexure A1).

- 3.7 As at reporting date, the amount of the not-taken up policies was considered insignificant, considering the value of new business, which was reported of \$16.9 million for the quarter ended 31 March 2019.
- 3.8 The industry also reported 6,040 policies with a total gross premium of \$143,000, which were not taken up during the quarter ended 31 March 2019.
- 3.9 A total of 2.1 million policies were lapsable during the beginning of the year. Out of these policies only 117,200 thousand policies from both individual life and employee benefits policies lapsed during the quarter ended 31 March 2019. This translates to a lapse ratio of 5.46%.
- 3.10 Although the lapse ratio reported for the quarter ended 31 March 2019 compared unfavourably to the lapse ratio of 3.21% for the quarter ended 31 March 2018, the difference was considered insignificant.
- 3.11 The table below shows the growth in business written by product line.

Table 3: Business composition by product line

Product	Mar-18	Mar-19	Growth
	\$000	\$000	(%)
Annuities	4,937	11,473	132%
Term Insurance	2,772	3,238	17%
Endowment	744	1,514	103%
Pure Endowment	851	795	-7%
Whole Life	2,091	3,147	51%
Funeral	36,916	37,010	0%
Fund Business	38,079	40,069	5%
Other/GLA	10,585	12,617	19%
Total	96,975	109,863	
Average industry growth in percentage terms			13%

4. Capitalisation

- 4.1 In terms of Statutory Instrument 95 of 2017, the current minimum regulatory capital requirement for primary life assurers is \$5 million and \$7.5 million for composite insurers.
- 4.2 As at the reporting date, nine (9) out of 11 primary life assurers were compliant with the minimum capital requirement as depicted in table 4 below and annexure A2.

Table 4: Trend in the Capital Position for life assurance companies

Company	Capital Position Trend				
	2018 Q1	2018 Q2	2018 Q3	2018 Q4	2019 Q1
1. CBZ Life	19,049	18,853	19,817	21,192	21,000
2. Econet Life	10,752	13,466	15,668	23,812	24,031
3. Evolution Health & Life	3,233	3,186	3,202	3,175	6,190
4. Fidelity Life Assurance	2,552	6,666	3,999	2,955	2,508
5. First Mutual Life	77,236	82,097	74,691	76,643	85,466
6. Getsure Life Assurance	3,363	7,075	5,391	5,265	6,417
7. Heritage Life	620	690	713	706	786
8. Nyaradzo Life Assurance	12,680	15,931	17,192	19,426	9,165
9. Old Mutual Life Assurance	248,578	288,326	320,877	442,474	389,063
10. ZB Life Assurance	16,109	16,621	16,590	17,320	47,335
11. Zimnat Life Assurance	25,646	27,262	27,532	28,378	28,332
Total	419,818	480,173	505,672	641,346	620,293

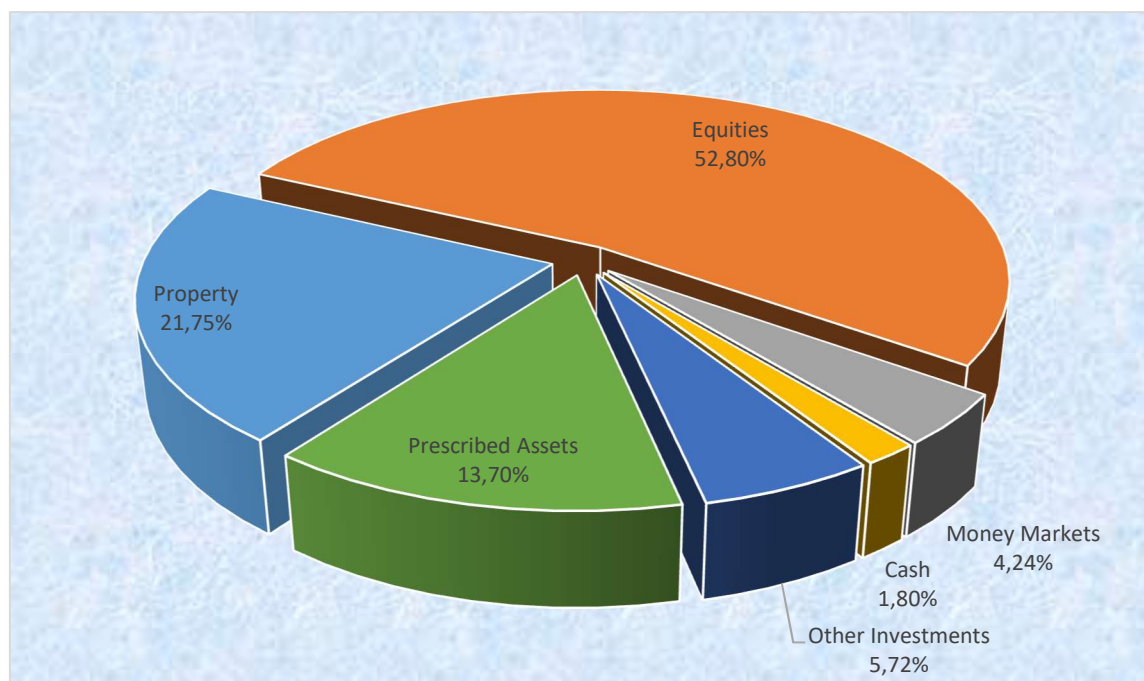
- 4.3 IPEC shall continue to carry out planned and ad-hoc capital verifications in addition to requiring players to continuously do self-capital assessments. .
- 4.4 Such capital verification programmes will be succeeded by the implementation of corrective re-capitalisation plans, which are approved and monitored by the Commission.

5. Asset quality

- 5.1 The total assets for the industry decreased by a marginal 2% from \$3.6 billion as at 31 December 2018 to \$3.5 billion as at 31 March 2019.

- 5.2 This decrease was mainly driven by a decrease in the value of equities from \$2.2 billion as at 31 December 2018 to \$1.8 billion as at 31 March 2019, which was attributable to the bears market on the Zimbabwe Stock Exchange (See annexure A4).
- 5.3 Fixed properties and equities constituted 73.83% of the total insurance industry assets, which is a reflection of the general nature of the liabilities for the sector, which are also long-term in nature.
- 5.4 In terms of asset allocation, the industry was considered generally compliant with circular 1 of 2013.
- 5.5 Fig 2 below shows the breakdown of assets

Figure 2: Breakdown of assets



- 5.6 Players are encouraged to continuously adhere to the requirements of Circular 1 of 2013 and structure their investment policy statements in line with the circular.
- 5.7 Table 5 below shows the mix of investment assets as at 31 March 2019.

Table 5: Insurance Industry Asset Mix as at 31 March 2019

	Dec-18	Mar-19	Growth Rate
Property	717,925	757,980	6%
Equities	2,177,996	1,840,331	-16%
Money Markets	143,210	147,750	3%
Cash	50,020	62,584	25%
Other Investments	139,483	199,303	43%
Prescribed Assets	321,290	477,441	49%
Total Assets	3,549,924	3,485,389	-2%

* Other investments below include plant and equipment, receivables and unquoted shares

- 5.8 The 2019 National Budget Statement increased the prescribed asset ratio from 7.5% to 15% for life assurers.
- 5.9 As at the reporting date, the industry reported an average prescribed assets ratio of 13.7% against the required 15%. Only one out of the 11 life assurers reported a prescribed asset ratio above the minimum prescribed asset ratio. (See table 6 below).

Table 6: Life Insurers Prescribed Asset Ratio Status as at 31 March 2019

Insurer	Prescribed asset Investments	Total assets	Prescribed asset ratio	Amount required to be compliant	Variance in compliance%
CBZ Life	4,079	27,963	14.59%	4,195	-0.41
Econet Life	5,326	35,929	14.82%	5,389	-0.18
Evolution Health & Life	100	6,706	1.49%	1005	-13.51
Fidelity Life Assurance	21,598	122,947	17.57%	18,442	
First Mutual Life	26,520	287,335	9.23%	43,100	-5.77
Getsure Life Assurance	524	8,254	6.35%	1,238	-8.65
Heritage Life		1,171	0.00%	176	-15
Nyaradzo Life Assurance	11,885	152,090	7.81%	22,813	-7.19
Old Mutual Life Assurance	386,127	2,599,322	14.85%	389,898	-0.15
ZB Life Assurance	4,344	113,446	3.83%	17,017	-11.15
Zimnat Life Assurance	16,939	130,223	13.01%	19,533	-1.99
Total	477,442	3,485,386	13.70%	522,808	-1.3

- 5.10 Players are required to comply with the new prescribed ratio. Compliance is mandatory and, the Commission will take appropriate punitive measures on all non-compliant institutions.

6. Reinsurance

- 6.1 As at the reporting date, direct life assurers wrote \$109.9 million in gross premium and ceded about \$1.8 million, which is 1.64% of the total gross premium written, thereby retaining 98.36% of the business written.
- 6.2 The Commission as part of the underwriting risk management for all insurers continues to encourage players to consider reducing their retention levels. This is in view of the fact that some of the institutions are inadequately capitalised.

7. Earnings

- 7.1 Total profit after tax for life assurers decreased by a huge margin of 156% from negative \$96.8 million for the quarter ended March 2018 to negative \$247.7 million for the quarter ended 31 March 2019.
- 7.2 The decrease was mainly as a result of a decline in investment income of \$279.0 million for the quarter ended 31 March 2019 and an increase in net claims of \$48.7 million as at 31 March 2019.
- 7.3 The decrease in profit after tax was also on the back of an 11.9% surge in total costs from \$71.5 million for the quarter ended 31 March 2018 to \$80.0 million for the quarter ended 31 March 2019.
- 7.4 Buoyed by an increase in net premium written, there was a slight decrease in the combined ratio from 75% as at 31 March 2018 to 74% as at 31 March 2019 (See annexure A3).
- 7.5 Accordingly, the underwriting profit for the industry slightly improved by 1% from \$33.1 million as at 31 March 2018 to \$33.5 million as at 31 March 2019.

8. Claims Analysis

- 8.1 For the quarter ended 31 March 2019, life companies paid \$48.75 million in net claims (March 2018: \$45.32 million). The Industry's total claims bill grew by 7.55% compared to the net premium growth rate of 13%.



Claims Aged Analysis

- 8.2 For the period under review, total outstanding claims were \$3.33 million with \$0.83 million (24.92%) worth of the claims being older than 31 days. The Commission will encourage players to timeously settle claims.
- 8.3 The Commission shall take appropriate action in respect of all unjustified delays in claims settlement.

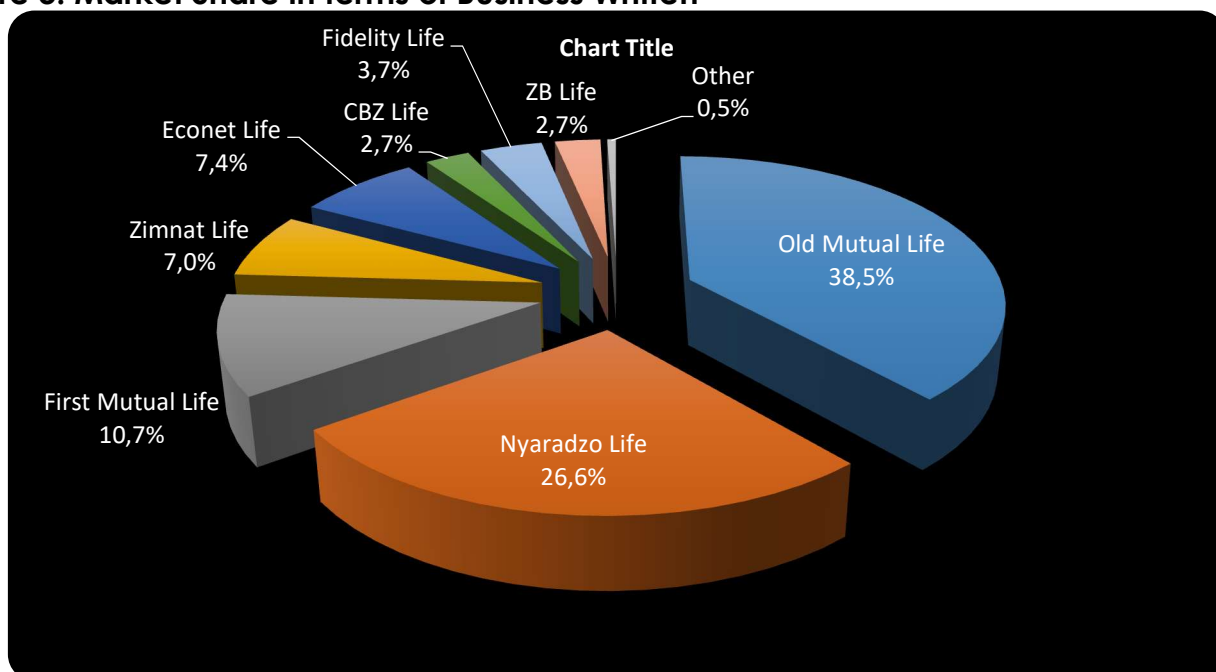
9. Liquidity

- 9.1 As at 31 December 2018 and 31 March 2019, current assets amounted to \$341.7 million and \$433.0 million whilst current liabilities amounted to \$107.6 million and \$79.3 million respectively.
- 9.2 The life assurance industry's liquidity ratio (current ratio) was 546% as at 31 March 2019. This shows that the industry has sufficient near-cash assets to liquidate their short-term contractual obligations among other short-term costs.

10. Market Share

- 10.1 In terms of GPW, Old Mutual Life constituted 38.5% of the business followed by Nyaradzo Life with 26.6% as indicated in figure 3 below.

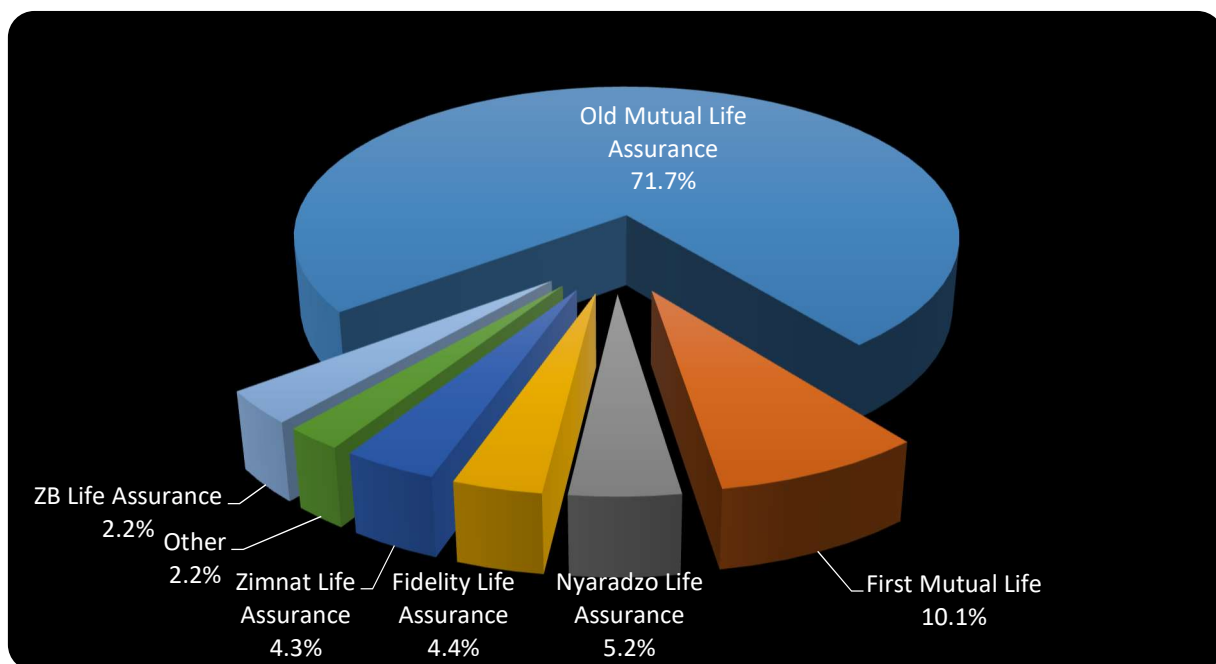
Figure 3: Market Share in terms of Business Written



**Other comprises Evolution Life, Heritage Life and Getsure Life*

10.2 However, in terms of total assets, Old Mutual Life constituted 72% of the market share followed by First Mutual Life and Nyaradzo Life at 10% and 5% respectively.

Figure 4: Market Share distribution in terms of total assets.



**Other comprises Evolution Life, Heritage Life, CBZ Life, Econet Life and Getsure Life*



Section B: Life Reassurance Industry

The statistics presented in this section of the report pertain to the composite reinsurers' life assurance business only except for the capital positions, which comprises both life and non-life business. Please note that the figures for Zep-Re contained in this report are only for the institution's Regional Hub Office located in Zimbabwe and not for the company as a regional institution. The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

10. Performance in Terms of Business Written

- 10.1 For the quarter ended 31 March 2019, Gross Written Premium (GWP) for Life reassurers increased by 13.42% from \$1,870 million reported for the quarter ending 31 March 2018 to \$2,121 million.
- 10.2 This increase in GWP was mainly driven by positive growth of 55.22% recorded by Baobab Re while the other three treasurers recorded negative growth ranging from -12.50% to -22.57%. Grand Re did not write any life reinsurance business for the period under review.
- 10.3 Recurring business as a proportion of GWP increased from 57% for the quarter ending 31 March 2018 to 83% for quarter ending 31 March 2019. The decrease in new business from 43% for the quarter ended 31 March 2018 to 17% for the period under review, might be as a result of inflationary pressures, which have eroded the purchasing power of the disposable income of consumers.
- 10.4 On business breakdown by source, 85% of GWP came from corporate lines while the remaining 15% came from personal lines.
- 10.5 Table 6 below shows breakdown of premium by industry players

Table 7: Breakdown of GPW

Name Of Company	Mar 2018 (\$000)	Mar 2019 (\$000)	Growth
	GPW	GPW	GPW%
1. Baobab Re	795	1,234	55.22%
2. FBC Re	224	196	-12.50%
3. FM RE	399	341	-14.54%
4. Grand Re	0	0	0%
5. Zep Re	452	350	-22.57%
Total	1,870	2,121	13.42%

- 10.6 Reinsurers retained 88.35% of the total business written, thus retroceding 11.65% of business written amounting to \$247 000 for the quarter ended 31 March 2019.

11. Capitalisation

11.1 All composite reassurers, were compliant with the minimum capital levels as at 31 March 2019.

11.2 The minimum capital requirement for reassurers, is \$7.5 million as stipulated in Statutory Instrument 95 of 2017.

11.3 Compliance with the minimum capital levels is a statutory requirement. As such, all players should ensure that they are adequately capitalised.

11.4 Adequate capitalisation is important as it helps to protect policyholders and ensures industry stability.

Table 8: Capitalisation of Composite Reinsurers

Company	Jun-18 \$(000)	Sep-18 \$(000)	Dec-18 \$(000)	Mar-19 \$(000)
1. Baobab Re	45 940	45 065	46 631	51 200
2. FBC Re	28 580	21 804	29 431	45 449
3. FM Re	9 429	10 042	12 001	7 810
4. Grand Re*	9 821	10 502	10 297	18 262
5. Zep Re**	5 956	7 358	7 650	8 531
Total	99 726	94 771	106 010	131 252

The capital levels in the table above include capital supporting non-life business

11.5 Zep Reinsurance company's capital position is also backed by its parent company based in Kenya, which reported capital of \$227.45 million.

12. Asset Quality

12.1 There was a marginal growth of 3.88% on the industry's asset base for Reassurers from \$49.58 million as at 31 December 2018 to \$51.48 million as at 31 March 2019.

12.2 The marginal increase of asset growth were mainly driven by money markets and equity investments, recording growth of 40% (amounting

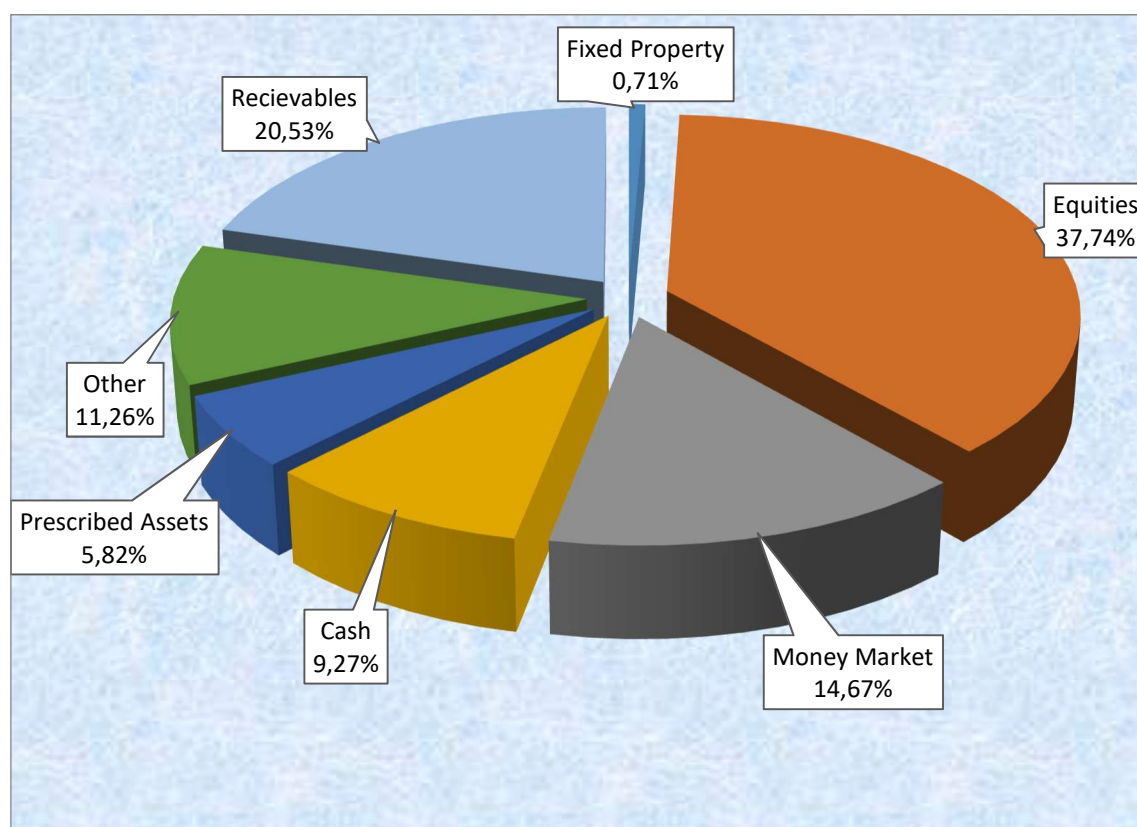
5.39 million) to and 2.69% (amounting to \$19.4 million) respectively as at 31 March 2019 (compared to \$75.53 million and \$18.92 million as at 31 December 2018 respectively). In monetary terms, growth in money market investments was more pronounced than growth in equities.

12.3 The asset base of composite reassurers was mainly composed of 3 asset classes namely; equities, premium receivables and money market investments with asset shares of 37.74%; 20.53% and 14.67% respectively.

12.4 Premium receivables constitute a significant portion of asset base and players are encouraged to reduce premiums receivables as this may tie up much needed liquidity for payment of claims.

12.5 Players are urged to seek for alternative investments that can preserve asset value in an inflationary environment so as to protect policyholder funds.

Figure 5: Breakdown of Assets.



*Other assets in figure 6 below consist of operating assets such as plant, property and equipment, motor vehicles, electronic equipment and prepayments, inventory and prepayments.



- 12.6 The Commission encourages players to continuously adopt optimal investment policies that are in line with Circular 2 of 2013 on Investment guidelines.
- 12.7 It is critical for industry players to always be compliant with regulations as this helps in the protection of policyholder funds and thus increases public confidence in the industry.
- 12.8 Reassuarers should be cognisant of the fact that they offer risk management support to holders of quasi trust funds and hence they have a joint fiduciary duty to policyholder with life assurers.
- 12.9 The average prescribed asset ratio for assets supporting life reinsurance business as at 31 March 2019 was 5.82%.
- 12.10 All reassuarers were not compliant with the minimum required prescribed asset ratio of 15% which was as proclaimed in the 2019 National Budget Statement. The prescribed asset ratios for players ranged from 0% to 7.7%. as at 31 March 2019.
- 12.11 Grand Reassurance Company did not write any life reinsurance business during the first quarter of 2019 and is pulling out of the life reinsurance business.
- 12.12 Players are therefore, encouraged to work towards meeting the new prescribed asset ratios as the enactment of the enabling regulations is imminent.

Table 9: Prescribed Asset Ratio for Composite Reinsurers

Reinsurer	Prescribed assets \$(000)	Total assets \$(000)	Prescribed asset ratio %	Amount required to be compliant \$(000)	Variance in compliance %
1. Baobab Re	1,149	1,790	7.77%	1,069	7.2
2. FBC Re	1,847	32,708	5.65%	3,059	9.4
3. FM Re	0	3,836	0%	575	15%
4. Grand Re	0	23	0%	3	15%
5. Zep Re	0	124	0%	19	15%
Total	2,996	51 481	5.82%	4,726	9.2%

13. Actuarial Matters

13.1 The reinsurers' total asset base for the period ended 31 March 2019 was \$51.48 million, a 3.69% increase from the previous quarter's reinsurers' total asset base of \$49.58 million.

13.2 Total asset base for the period ended 31 March 2019 are deemed adequate to cover the technical liabilities of \$14.94 million (See appendix B2).

13.3 Technical liabilities as at 31 March 2019 comprised future policyholders' benefits, unearned premium reserve, outstanding claims reserve, incurred but not reported claims reserve and life fund reserves.

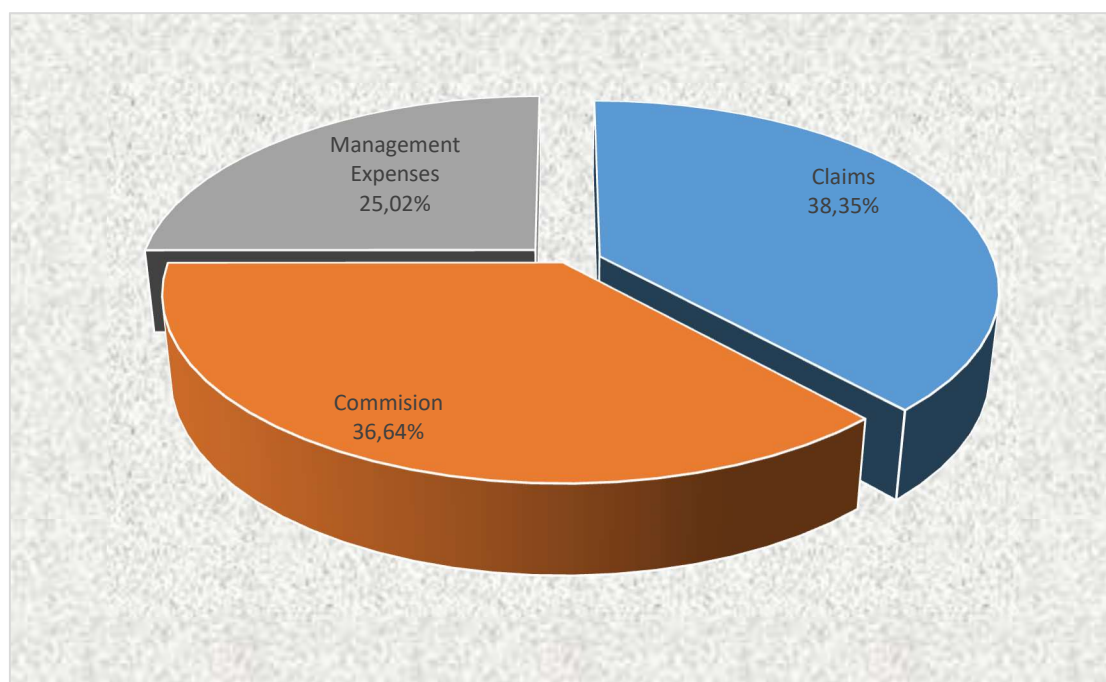
13.4 It is imperative for industry players to have reserving policies, and should periodically review the same to make sure they have adequate reserves to meet claims

14. Earnings

14.1 There was an increase of 12.17% in profit after tax for reinsurers from \$202 000 for the period ended 31 March 2018 to \$230 000 for the period under review. (See appendix B2).

- 14.2 The increase in profit after tax was mainly driven by a slight increase in fair value adjustments of equities on the Zimbabwe Stock Exchange.
- 14.3 The total cost for the period ended 31 March 2019 was \$1,403 million compared to \$1,329 million for the period ended 31 March 2018, representing a 5.27% increase in costs incurred by reassurers.
- 14.4 Claims and commission contributed significantly to the total cost for the period ended 31 March 2019, as they constituted 38% and 37% of total costs respectively. The remaining 25% of the total costs was from management expenses. Figure 7 below shows the total cost breakdown.

Figure 6: Breakdown of Costs



15. Liquidity

- 15.1 The industry had above average level of liquid assets as evidenced by high portion of cash and cash equivalents of 27.10% to total assets. Industry players are encouraged to strike a balance between the need to remain liquid and avoid tying up too much assets in these low return, near cash assets.

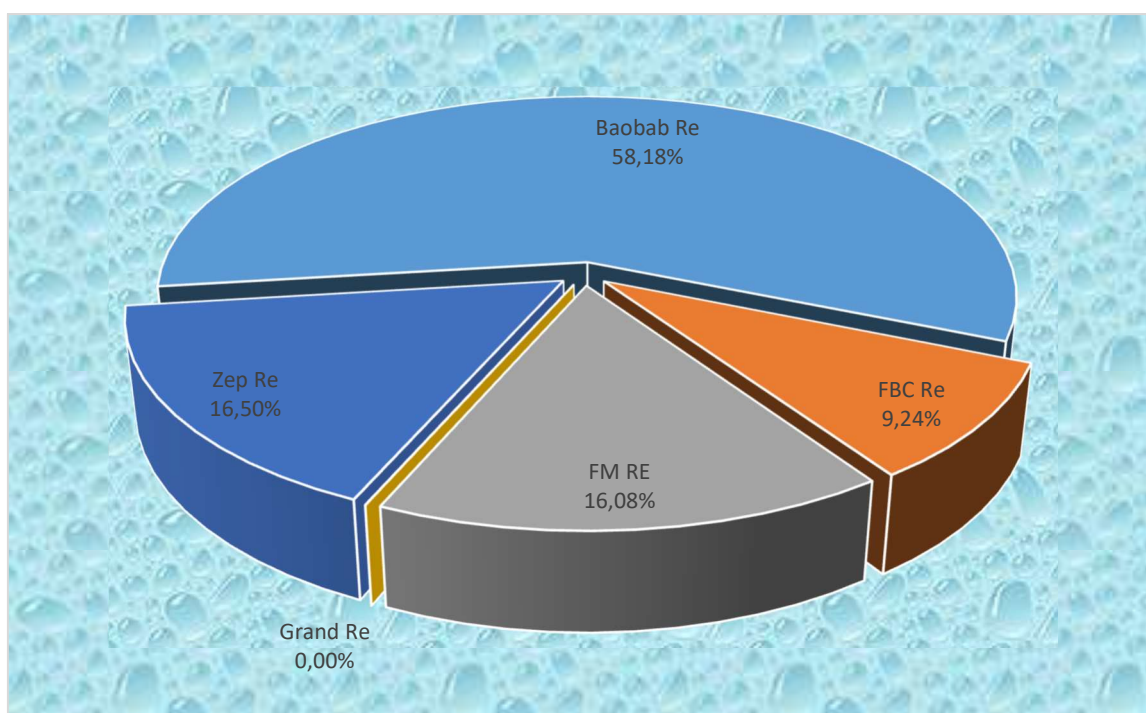
15.2 The total working capital for reassuarers supporting their reinsurance business was \$10.41 million as at 31 March 2019. (See appendix B1).

16. Market Share

16.1 Baobab Reassurance Company dominated the market share in reinsurance business in terms of GWP as it had a market share of 58.18%.

16.2 The remaining 41.82% market share was split among the other players as follows: 16.50% (Zep Re); 16.08% (FM Re) and 9.24% (FBC Re). (See appendix B1).

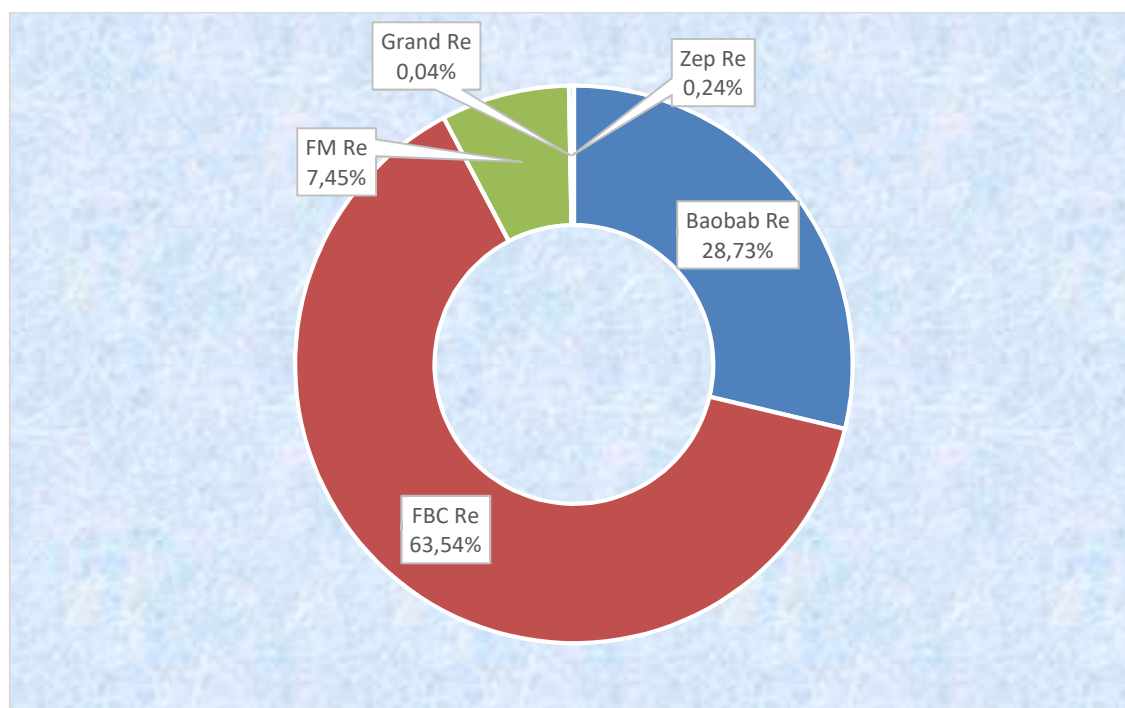
Figure 7: Market Share of Life Reinsurers by GPW



16.3 The total assets of \$51.48 million for the industry were dominated by two players namely; FBC reinsurance and Baobab reinsurance with a combined market share of 92.27%.

16.4 The other three reassuarers, shared the remaining 7.73% assets.

Figure 8: Market Share in Terms of Assets





ANNEXURES

Annexure A1: Business Composition Computation Life Insurers as at 31 March 2019

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Mar-18	Mar-19	Growth (%)	Mar-18	Mar-19	Growth (%)	Mar-18	Mar-19	Growth (%)	Mar-18	Mar-19	Growth (%)	Mar-18	Mar-19	Growth (%)
CBZ Life	63	74	17.46%	1,903	1,867	-1.89%	569	566	-0.53%	365	432	18.36%	2,900	2,939	1.34%
Econet Life	125	1,372	997.60%	3,157	6,585	108.58%	0	0	0.00%	125	130	4.00%	3,407	8,087	137.36%
Evolution Health and Life	1	2	100.00%	135	161	19.26%	0	0	0.00%	0	0	0.00%	136	163	19.85%
fidelity Life	429	305	-28.90%	726	965	32.92%	4	0	0.00%	2,157	2834	31.39%	3,316	4,104	23.76%
First Mutual life	145	152	4.83%	4,577	5025	9.79%	16	36	125.00%	4,731	6554	38.53%	9,469	11,767	24.27%
Getsure Life	42	31	-26.19%	374	424	13.37%	151	0	0.00%	26	118	353.85%	593	573	-3.37%
Heritage Life	1	8	700.00%	209	197	-5.74%	1	0	0.00%	0	0	0.00%	211	205	-2.84%
Nyaradzo Life	370	440	18.92%	17,239	20602	19.51%	13	58	346.15%	7,435	8073	8.58%	25,057	29,173	16.43%
Old Mutual Life	363	348	-4.13%	4,617	4987	8.01%	13650	10025	-26.56%	24,079	26823	11.40%	42,709	42,183	-1.23%
ZB Life	42	17	-59.52%	1,331	1301	-2.25%	75	263	250.67%	1,647	1426	-13.42%	3,095	3,007	-2.84%
Zimnat Life	686	420	-38.78%	1,761	2907	65.08%	378	983	160.05%	3,259	3346	2.67%	6,084	7,656	25.84%
TOTAL	2,267	3,169	39.79%	36,029	45,021	24.96%	14857	11931	-19.69%	43,824	49,736	13.49%	96,977	109,857	13.28%



Annexure A2: Life insurers Capitalisation, Solvency & Liquidity Trends as at 31 March 2019

Company	Current Assets (\$000)			Current Liabilities			Total Assets(\$000)			Total Liabilities(\$000)			Capital (Net Assets) (\$000)			Capital to liability Ratio (%)			Current Ratio(%)		
	Dec-18	Mar-19	%	Dec-18	Mar-19	%	Dec-18	Mar-19	%	Dec-18	Mar-19	%	Dec-18	Mar-19	%	Dec-18	Mar-19	%	Dec-18	Mar-19	%
CBZ	12441	14,849	19%	3874	288	-93%	27,488	27,963	2%	6296	6,963	11%	21,192	21,000	-1%	337%	302%	-35%	511%	5156%	4645%
Econet	24,966	22,620	-9%	9,396	540	-94%	33,208	35,929	8%	9,396	11,898	27%	23,812	24,031	1%	253%	202%	-51%	253%	4189%	3936%
Evolution	645	640	-1%	314	62	-80%	3,647	6,706	84%	472	516	9%	3,175	6,190	95%	673%	1200%	527%	274%	1032%	758%
Fidelity	43,548	36,403	-16%	17159	17,472	2%	108,068	122,947	14%	105113	120,439	15%	2,955	2,508	-15%	3%	2%	-1%	4421%	208%	4213%
First Mutual	31348	14,849	-53%	22090	5,307	-76%	281,655	287,335	2%	205,012	201,869	-2%	76,643	85,466	12%	37%	42%	5%	1824%	280%	1544%
Getsure	6,917	5,449	-21%	2,663	1,837	-31%	7,929	8,254	4%	2,664	1,837	-31%	5,265	6,417	22%	198%	349%	152%	4022%	297%	3725%
Heritage	450	388	-14%	342	325	-5%	1,083	1,171	8%	377	385	2%	706	786	11%	187%	204%	17%	132%	119%	-12%
Nyaradzo	58633	60,398	3%	12791	18116	42%	149,544	152,090	2%	130118	142,925	10%	19,426	9,165	-53%	15%	6%	-9%	555%	333%	-222%
Old Mutual	133995	144,358	8%	23883	26,403	11%	2,744,357	2,599,322	-5%	2301883	2,210,259	-4%	442,474	389,063	-12%	19%	18%	-2%	4715%	547%	4168%
ZB	3784	2,776	-27%	3146	7771	147%	59,677	113,446	90%	42357	66,111	56%	17,320	47,335	173%	41%	72%	31%	874%	36%	-838%
Zimnat	24975	130,223	421%	11900	1169	-90%	133,269	130,223	-2%	104891	101,891	-3%	28,378	28,332	0%	27%	28%	1%	328%	11140%	10811%
Total	341,702	432,953	27%	107,558	79,290	-26%	3,549,925	3,485,386	-2%	2,908,579	2,865,093	-1%	641,346	620,293	-3%	22%	22%	0%	919%	546%	-373%



Annexure A3: Cost and earnings analysis for the life assurance industry

Co. Name	NPW (000)			Claims (000)			Commissions(000)			Management Expenses (000)			Total Costs(000)			Combined Ratio		
	Mar-18	Mar-19	Growth	Mar-18	Mar-19	Growth	Mar-18	Mar-19	Growth	Mar-18	Mar-19	Growth	Mar-18	Mar-19	Growth	Mar-18	Mar-19	Growth
CBZ	2,803	2,835	1.14%	647	733	100.00%	245	203	0.00%	472	1242	163.14%	1,364	2,178	59.68%	49%	77%	28.16%
Econet	3,328	7,767	133.38%	1,398	3,142	124.75%	0	0	0.00%	1,152	400	-65.28%	2,550	3,542	38.90%	77%	46%	-31.02%
Evolution	135	163	20.74%	16	0	-100.00%	22	0	-100.00%	78	0	-100.00%	116	0	100.00%	86%	0%	-85.93%
Fidelity	3,237	4,009	23.85%	810	2,127	162.59%	154	144	-6.49%	1,962	0	-100.00%	2,926	2,271	-22.39%	90%	57%	-33.74%
First Mutual	9,364	11,674	24.67%	3,129	4,045	29.27%	380	419	10.26%	3,219	5018	55.89%	6,728	9,482	40.93%	72%	81%	9.37%
Getsure	586	573	-2.22%	58	131	125.86%	73	62	-15.07%	248	314	26.61%	379	507	33.77%	65%	88%	23.81%
Heritage	209	203	-2.87%	26	30	15.38%	10	14	40.00%	224	225	0.45%	260	269	3.46%	124%	133%	8.11%
Nyaradzo	25,056	29,171	16.42%	12,735	13,795	8.32%	2,100	2181	3.86%	7,193	8788	22.17%	22,028	24,764	12.42%	88%	85%	-3.02%
Old Mutual	42,017	41,429	-1.40%	23,580	21,181	-10.17%	462	543	17.53%	4,236	7083	67.21%	28,278	28,807	1.87%	67%	70%	2.23%
ZB	2,973	2,841	-4.44%	1,595	1076	100.00%	456	463	1.54%	1,129	1376	21.88%	3,180	2,915	-8.33%	107%	103%	-4.36%
Zimnat	5,786	7,402	27.93%	1,329	2,487	87.13%	509	714	40.28%	1,815	2,018	11.18%	3,653	5,219	42.87%	63%	71%	7.37%
Total	95,494	108,067	13.17%	45,323	48,747	7.55%	4,411	4,743	7.53%	21,728	26,464	21.80%	71,462	79,954	11.88%	75%	74%	-0.85%



Annexure A4: Life Industry Asset Bases as at 31 March 2019

	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets(000)			Total Assets (000)		
	Dec-18	Mar-19	Var	Dec-18	Mar-19	Var	Dec-18	Mar-19	Var	Dec-18	Mar-19	Var	Dec-18	Mar-19	Var	Dec-18	Mar-19	var	Dec-18	Mar-19	Growth
CBZ	6,439	5,036	-22%	4,556	4,617	100%	8,395	8,527	2%	1,346	1,076	-20%	1,361	4,629	240%	5,391	4,078	-24%	27,488	27,963	1.73%
Econet	2,084	5,500	164%	16,424	16,752	2%	3,382	1,653	-51%	4,077	3,768	-8%	3,136	2,929	-7%	4,105	5,326	30%	33,208	35,928	8.19%
Evolution	1,522	2,288	50%	1,175	3,563	203%	-	-	0%	8	5	-38%	841	750	-11%	100	100	0%	3,646	6,706	83.93%
fidelity	20,336	46,787	130%	36,675	35,492	-3%	1,183	1,439	22%	2,612	3,482	33%	12,960	14,150	9%	34,302	21,598	-37%	108,068	122,948	13.77%
First Mutual	151,251	147,382	-3%	74,594	73,233	-2%	17,875	22,965	28%	7,690	3,915	-49%	5,783	13,320	130%	24,462	26,520	8%	281,655	287,335	2.02%
Getsure	380	875	130%	-	-	0%	1,343	1,287	-4%	173	144	-17%	5,509	5,424	-2%	524	524	100%	7,929	8,254	4.10%
Heritage	41	20	-51%	587	758	29%	104	32	0%	91	97	7%	209	264	26%	51	-	100%	1,083	1,171	8.13%
Nyaradzo	79,167	83,602	6%	7,424	8,092	9%	5,783	5,752	-1%	8,869	10,275	16%	37,978	32,485	-14%	10,323	11,885	15%	149,544	152,091	1.70%
Old Mutual	432,220	436,284	1%	1,974,403	1,634,370	-17%	70,837	69,042	-3%	22,873	37,838	65%	27,692	35,662	29%	216,332	386,127	78%	2,744,357	2,599,323	-5.28%
ZB	2,785	8,357	200%	18,537	25,121	36%	2,762	1,784	-35%	13	170	1208%	31,335	73,671	135%	4,245	4,344	2%	59,677	113,447	90.10%
Zimnat	21,700	21,849	1%	43,621	38,333	-12%	31,546	35,269	12%	2,268	1,814	-20%	12,679	16,019	26%	21,455	16,939	-21%	133,269	130,223	-2.29%
Total	717,925	757,980	5.58%	2,177,996	1,840,331	-15.50%	143,210	147,750	3%	50,020	62,584	25%	139,483	199,303	43%	321,290	477,441	49%	3,549,924	3,485,389	-1.82%



Annexure A5: Claims age analysis for the period ended 31 March 2019

Name of Company	CBZ Life	Econet	Evolution	Fidelity	First Mutual	Getsure	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
>30days	418	0	5	124	189	2	0	0	1	79	58	874
31-60days	22	0	4	2	59	4	0	0	0	1	254	342
61-90days	86	0	2	10	5	3	0	0	0	12	49	164
91-120days	13	0	1	6	19	0	0	0	0	11	5	55
<121 days	445	0	0	0	753	0	0	0	0	291	408	1897
Reinsurance	0	0	0				0	0	0	0	0	0
Total	984	0	12	142	1025	9	0	0	1	394	774	3332

Annexure A6: Debtors age analysis for the period ended 31 March 2019

Name of Company	CBZ Life	Econet	Evolution	Fidelity	First Mutual	Getsure	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
>30days	219	0	12	151	423		31	0	1006		652	2494
31-60days	128	0	6	152	500		30	0	0		604	1420
61-90days	86	0	4	96	201		18	0	0		217	622
91-120days	97	0	1	9	0		3	0	0		36	146
<121 days	291	0	0	1130	0			0	0		175	1596
Total	821	0	23	1538	1124	0	82	0	1006	0	1684	6278



Annexure A7: Gross Premium by Product Type as at 31 March 2019

	Annuities			Term Insurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			Other/GLA		
Company	Mar-18	Mar-19	Growth (%)	Mar-18	Mar-19	Growth (%)	Mar-18	Mar-19	Growth (%)	Mar-18	Mar-19	Growth (%)	Mar-18	Mar-19	Growth (%)	Mar-18	Mar-19	Growth (%)	Mar-18	Mar-19	Growth (%)	Mar-18	Mar-19	Growth (%)
CBZ Life	1	156	15500%	1,178	1211	3%	7	7	0%	0	0	0%	39	41	5%	1,573	1,511	-4%	0	0	0%	106	12	-89%
Econet Life	0	7957	0%	0	0	0%	0	0	0%	0	0	0%	0	0	0%	3,282	0	-100%	0	0	0%	125	130	4%
Evolution Health & Life	0	0	0%	0	0	0%	0	0	0%	0	0	0%	1	0	-100%	136	169	24%	0	0	0%	0	0	0%
Fidelity Life Assurance	47	0	0%	25	27	8%	403	314	-22%	214	184	-14%	58	63	9%	408	381	-7%	0	0	0%	2,158	3,135	45%
First Mutual Life	2,407	1,372	-43%	1,276	1,308	3%	103	121	17%	0	0	0%	165	103	-38%	1,786	1,413	-21%	3,110	5,685	83%	621	1,766	184%
Getsure Life Assurance	0	0	0%	151	0	0%	0	0	0%	0	0	0%	0	118	0%	151	152	1%	0	0	0%	291	303	4%
Heritage Life	80	0-	0%	0	53	0%	2	0	-100%	0	1	0%	5	148	2860%	124	0	-100%	0	0	0%	0	3	0%
Nyaradzo Life Assurance	0	0	0%	0	0	0%	0	0	0%	0	0	0%	0	0	0%	25,056	29,171	16%	0	0	0%	0	0	0%
Old Mutual Life Assurance	2,253	1,704	-24%	0	550	0%	70	839	1099%	0	0	0%	1,492	1,366	-8%	1,262	1,015	-20%	31,896	32,086	1%	5,737	4,624	-19%
ZB Life Assurance	41	41	0%	142	89	-37%	159	233	47%	637	610	-4%	12	11	-8%	1,712	334	-80%	391	352	-10%	0	1,337	0%
Zimnat Life Assurance	108	243	125%	0		0%	0		0%	0		0%	319	1,297	307%	1,426	2,864	101%	2,682	1,946	-27%	1,547	1,307	-16%
Total	4,937	11,473	132%	2,772	3,238	17%	744	1,514	103%	851	795	-7%	2,091	3,147	51%	36,916	37,010	0%	38,079	40,069	5%	10,585	12,617	19%



Annexure A8: Statement of comprehensive income for life assurers for the quarter ended 31 March 2019

	CBZ Life	Econet	Evolution	Fidelity	First Mutual	Getsure	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
Gross Written Premiums	2,938	8087	164	4,104	11,768	573	205	29,171	42,183	3,007	7,657	109,857
Reinsurance Premiums	103	320	1	95	94	15	2	0	754	166	255	1805
Net Written Premiums	2,835	7,767	163	4,009	11,674	558	203	29,171	41,429	2,841	7,402	108,052
Increase/(Decrease) in UPR	210	0	0	0	0	0	0	2575	0	0	0	2,785
Net Earned Premiums	2,625	7,767	163	4,009	11,674	558	203	26,596	41,429	2,841	7,402	105,267
Transfer to IBNR	-16	468	0	2,127	0	21	0	0	0	0	231	2,831
Claims paid	640	2,674	0	0	4,045	44	30	13,795	21,181	1,114	1,583	45,106
Outstanding claims	109	0	0	0	0	66	0	0	0	-38	673	810
Net claims	733	3,142	0	2,127	4,045	131	30	13,795	21,181	1,076	2,487	48,747
Net Commission Incurred	203	0	0	144	419	62	14	2181	543	463	714	4,743
Technical Result	1,689	4,625	163	1,738	7,210	365	159	10,620	19,705	1,302	4,201	51,777
Operating Expenses	1180	142	0	1611	5018	0	225	0	7083	1376	1,601	18,236
Underwriting Result	509	4,483	163	127	2,192	365	-66	10,620	12,622	-74	2,600	33,541
Management expenses	62	258	0	0	0	313	0	8788	0	0	417	9,838
Investment Income	-609	(721)	0	-482	-6627	64	0	387	-	304	-4532	-
Unrealised Gains/Losses	0	0	0	0	0	525	0	0	0	0	0	525
Other expenses	0	4542	0	-14443	1361	260	11	842	0	2339		-5,088
Other Income	0	39	0	90	4586	0	30	1523	0	221	11	6,500
Profit Before Tax	-162	-999	163	14,178	-1,210	381	-47	2,900	254,139	1,888	-2,338	243,161
Taxation	14	119		18	552			216	3433	42	122	4,516
Profit After Tax	-176	-1,118	163	14,160	-1,762	381	-47	2,684	257,572	1,930	-2,460	247,677
Transfer to policyholders funds	0	0	0	12,707	3,293	0	0	0	200,988	-	0	215,859
Dividends	0	0	0	0		0	0	0			0	0
Retained Income	-176	-1,118	163	1,453	-5,055	381	-47	2,684	458,560	-801	-2,460	463,536



ANNEXURE B1. KEY PERFORMANCE INDICATORS FOR COMPOSITE REASSURERS						
	Baobab Re	FBC Re	FM Re	Grand Re	Zep Re	Total/ Average
Key Performance Indicator						
Capital Adequacy						
Capital Position (\$ 000)	10 852	16 533	2 593	-50	914	30 842
Capital Coverage Ratio (CCR)	217,04%	330,66%	51,86%	-1,00%	18,28%	123,37%
Equity/Total Assets Ratio	73,35%	50,55%	67,60%	-242,86%	736,29%	59,90%
Solvency Margin	440,80%	395,05%	1258,74%	-5100,00%	214,82%	423,75%
Asset Quality						
Total Assets (\$ 000)	14 790	32 709	3 836	21	124	51 480
Investments to Total Assets	63,60%	47,18%	90,33%	0,00%	0,00%	55,01%
Non-Interest Generating Assets/Total Assets	85,80%	69,86%	48,51%	0,00%	0,00%	72,90%
Fixed Assets/Total Assets	0,00%	0,00%	0,00%	19,05%	0,00%	0,00%
Prescribed Assets Ratio	7,77%	5,65%	0,00%	0,00%	0,00%	5,82%
Premium Debtors/Gross Premium	377,88%	0,00%	38,12%	0,00%	16,29%	228,67%
Premium Debtors/Total Assets	31,53%	0,00%	3,39%	0,00%	45,97%	9,42%
Reinsurance						
Risk Retention Ratio	85,98%	100,00%	78,30%	0,00%	100,00%	88,35%
Actuarial						
Total Assets/Total Reserves	600,98%	100,00%	1862,14%	0,00%	28,84%	980,95%
Earnings						
Profit After Tax (000)	158	72	-190	-1	135	174
Return on Equity	1,46%	0,44%	-7,33%	1,96%	14,79%	0,56%
Return on Assets	1,07%	0,22%	-4,95%	-4,76%	108,87%	0,34%
Loss Ratio	26,67%	14,29%	25,84%	0,00%	34,57%	20,65%
Net Commission Ratio	19,12%	29,08%	21,11%	0,00%	42,57%	24,23%
Net Expense Ratio	21,68%	8,16%	28,09%	0,00%	8,57%	18,78%
Combined Ratio	74,08%	51,53%	80,90%	N/A	85,71%	122,21%
Investment Income/NPW Ratio	0,00%	0,00%	0,00%	0,00%	0,00%	0,00%
Investment Income/Total Financial Assets	0,46%	0,01%	-6,54%	0,00%	0,00%	-0,58%
Liquidity						
Working Capital	5 300	2 737	1 092	-52	913	10 411
Current ratio	2353,13%	407,93%	207,80%	23,29%	2480,00%	475%
Liquid assets as a percentage of total assets	14,20%	30,14%	51,49%	80,95%	0,00%	27,10%
Market Shares						
Market Share Based on GPW	58,18%	9,24%	16,08%	0,00%	16,50%	100%
Market Share Based on NPW	56,62%	10,46%	14,25%	0,00%	18,68%	100%
Market Share Based on Total Assets	28,73%	63,54%	7,45%	0,04%	0,24%	100%



ANNEXURE B2. STATEMENT OF COMPREHENSIVE INCOME FOR COMPOSITE REASSURERS FOR THE PERIOD ENDED 31 MARCH 2019 (000)						
	Baobab Re	FBC Re	FM Re	Grand Re	Zep Re	Total
Gross Written Premiums	1 234	196	341		350	2 121
Retrocessions Premiums	173		74			247
Net Written Premiums	1 061	196	267	0	350	1 874
Increase/(Decrease) in UPR					-85	-85
Net Earned Premiums	1 061	196	267	0	435	1 959
Transfer to IBNR	41				114	155
Outstanding claims						0
Claims recovered	-4					
Paid Claims	283	28	69		7	387
Net claims	320	28	69	0	121	538
Net Commission Incurred	236	57	72		149	514
Technical Result	505	111	126	0	165	907
Operating Expenses	230	16	75	1	30	352
Underwriting Result	275	95	51	-1	135	555
Management expenses						0
Investment Income	46	2	-242			-194
Unrealised Gains/Losses	-136					-136
Other expenses						0
Other Income	-25		1			-24
Profit Before Tax	160	97	-190	-1	135	201
Taxation	2	25				27
Profit After Tax	158	72	-190	-1	135	174
Transfer to policyholders funds						0
Dividends					0	0
Retained Income	158	72	-190	-1	135	174



APPENDIX B3. STATEMENT OF FINANCIAL POSITION FOR COMPOSITE REASSURERS AS AT 31 MARCH 2019 (000)						
	Baobab Re	FBC Re	FM Re	Grand Re	Zep Re	Total
ASSETS						
Non-Current Assets						
Intangible assets						0
Property plant and equipment	5	358	8	4		
Investment property						
Investments and securities	7 850	9 715	1 723			19 288
Life reinsurance contracts assets	156					
Deferred tax	2					
Investment assets						0
Other Non-Current Assets						0
Total Non-Current Assets	8 013	10 073	1 731	4	0	19 821
Technical Assets						
Reinsurers' Share of O/S Claims		7 457				7 457
Deferred Acquisition Cost (DAC)						0
Total Technical Assets	0	7 457	0	0	0	7 457
Current Assets						
Cash & cash equivalents	543	4 141	233			4 917
Money Market Investments	1 557	5 716	1 742	17		9 032
Current Prescribed Assets						0
Premium Receivables	4 663		130		57	4 850
Intercompany Investments						0
Inventory and Other Debtors	14	5 322			67	5 403
Total Current Assets	6 777	15 179	2 105	17	124	24 202
TOTAL ASSETS	14 790	32 709	3 836	21	124	51 480
Liabilities						
Deferred Tax Liabilities		-452	-3			-455
Future policyholders benefits		4 185	112			4 297
Short term provisions	432					432
Loans						0
Current Tax provisions						0
Gross Outstanding Claims		8 721	485	1	5	9 212
IBNR			94		149	243
UPR					276	276
Life fund	2 029					2 029
Creditors			27			27
Amount due to retrocessions	1 264		537			1 801
Other Creditors	213	3 721	-9	72	-1 219	2 778
Total Liabilities	3 938	16 175	1 243	73	-789	20 640
SHAREHOLDERS' EQUITY						
Share Capital	488	800	1	14		1 303
Share Premium	6 281	4 803	2 287			13 371
Revaluation & Other Reserves		37				37
Retained earnings prior years	3 921	10 197	495	-65	779	
Retained Profit	158	663	-190		134	765
Others		33				33
Shareholders's Equity	10 848	16 533	2 593	-51	913	30 836
TOTAL EQUITY & LIABILITIES	14 786	32 708	3 836	22	124	51 476